

Ticker: SKE CN	3Q25 cash+raise: C\$245m	Project: Eskay Creek
Market cap: C\$5.3bn	Price: C\$44.03/sh	Country: Canada, BC
REC. (unc): BUY	TARGET (+C\$5.80): C\$53/sh	RISK RATING (unc): HIGH

We view today's receipt of the Environmental Assessment Certificate (EAC) as a material de-risking milestone for Skeena. Notably, this is the first EAC granted under the Section 7 agreement signed in 2022 between the BC government and the Tahltan Nation, a consent-based decision-making framework that formally recognizes Indigenous governance authority, in our view materially strengthening the project's social license to operate. The remaining permits, the B.C. Environmental Management Act and Major Mines Act permits (submitted as a joint application), are expected within less than 30 days based on previously communicated timelines. With early works already underway, receipt of final permits should allow full construction to commence quickly, shifting the perceived project risk away from permitting and onto execution. Reflecting key de-risking for the project ahead of securing final Major mines permit, we raise our multiple from 0.80x to 0.9x, **as such we maintain our BUY rating and raise our price target to C\$53.00 from C\$47.20** based on 0.9x NAV5%-3,600-50 for the group including a nominal US\$75/oz for Snip—putting the stock at ~0.74xNAV (or ~0.5x at spot) against peer producers in North America trading above 1.0x. Beyond that, upside comes from a strong precious metal environment (DFS based on 1,700/oz Au & 19.00/oz Ag vs spot ~5,000/oz Au & ~US\$110/oz Ag), bringing Snip into development plans (823koz @ 9.35g/t indicated UG resource), and other low-hanging technical improvements (e.g. concentrate payabilities / pit slopes).

Eskay granted Environmental Assessment Certificate by BC and Tahltan, Major Permits within 30 days

Today, Skeena announced its receipt of the Environmental Assessment Certificate (EAC) for Eskay Creek (100%, BC), which has been reviewed by Canada's Minister of Environment and Climate Change and approved under the Federal Impact Assessment Act. The EAC was issued by the BC Minister of Mining & Critical Minerals and the BC Minister of Environment & Parks and jointly approved by the Tahltan Central Government. The Tahltan's consent is embedded within the EAC pursuant to the Section 7 agreement signed in 2022 between the BC government and the Tahltan Central Government.

Why we like Skeena

1. Eskay pittable 4.6Moz @ 3.6g/t P&P / 324koz pa LOM @ US\$684/oz AISC 3Q23 DFS
2. Tahltan Nation support with IBA approval
3. Scarcity value on 'build ready' assets of scale in Canada
4. Snip (823koz @ 9.35g/t indicated UG resource) upside

Catalysts

1. SCPe 1H26: Major Mines permits
2. 2026: project execution / construction progress update

Research

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Ticker: SKE CN	Price / mkt cap: C\$44.03/sh, C\$5329m	Project PNAV today: 0.75x	Asset: Eskay Creek / Snip
Author: B Gaspar	Rec / 0.9xNAV PT: BUY, C\$53/sh	1xNAV_{1Q26} FF FD: C\$58.94/sh	Country: Canada: BC

Commodity price	CY25E	CY26E	CY27E	CY28E	CY29E
Gold price	2,387	3,441	4,050	3,800	3,600

SOTP project valuation*

	C\$m	O/ship	NAVx	C\$/sh
Ungeared proj. @ 1Q26	7,674	100%	1.00x	58.73
Cash 3Q25 + Raise	245	100%	1.00x	1.87
Cash from options	70	100%	1.00x	0.53
G&A and finance costs (C\$m)	(294)	100%	1.00x	(2.25)
Snip (US\$75/oz)	98	100%	1.00x	0.75
AssetNAV5% C\$3600/oz	7,792			59.6

*Shares diluted for options and mine build

Market P/NAV

0.74x

Share data

Basic shares (m)	121.0	FD with build equity raise	130.7
FD with options (m)	130.7		

Asset value: 1xNPV project @ build start (C\$m, ungeared)*

Project NPV (C\$m)*	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	5,073	6,066	7,442	8,805	10,160
7.5% discount	5,677	6,803	8,364	9,912	11,451
5.0% discount	6,389	7,674	9,457	11,227	12,987
Ungeared project IRR:	0%	0%	0%	0%	0%
Project NPV (C\$/sh)*	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	38.82	46.43	56.96	67.39	77.76
7.5% discount	43.45	52.07	64.01	75.86	87.64
5.0% discount	48.89	58.73	72.38	85.92	99.39

*Project level NPV, excl finance costs and central SG&A, discounted to build start

Group valuation over time^	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30
Eskay Creek (C\$m)	7,674	8,385	7,805	6,898	5,870
Net cash prior qtr (C\$m)	154	(169)	880	2,150	3,523
G&A and finance costs (C\$m)	(294)	(235)	(173)	(123)	(88)
Cash from options (C\$m)	70	70	70	70	70
Snip	98	98	98	98	98
NAV FF FD (C\$m)	7,701	8,148	8,680	9,093	9,472
1xNAV _{5%} /sh FF FD (C\$/sh)	58.94*	62.36*	66.43*	69.59*	72.49*

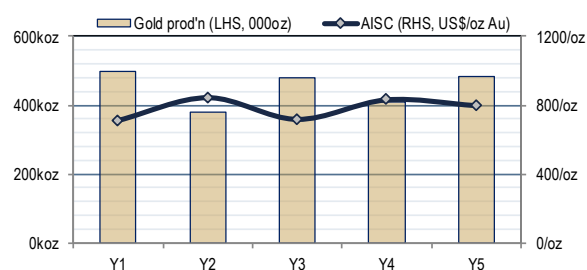
Geared company 1xNAV when in production

1xNAV FF FD (C\$/sh)^	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	6,386	7,589	9,255	10,905	12,545
7.5% discount	6,794	8,097	9,902	11,692	13,472
5.0% discount	7,261	8,680	10,648	12,601	14,544
Geared project IRR:	0%	0%	0%	0%	0%
1xNAV FF FD (C\$/sh)^	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	48.87	58.08	70.83	83.46	96.01
7.5% discount	52.00	61.96	75.78	89.48	103.10
5.0% discount	55.57	66.4	81.49	96.44	111.31

^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	500	380	480	410	485
C1 cost (US\$/oz)	623	732	626	705	694
AISC cost (US\$/oz)	708	843	714	830	796

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resources	AuEq (koz)	AuEq (g/t)
Pittable resource	5631koz	3.46g/t
Underground resource	393koz	5.86g/t
Snip	937koz	9.00g/t

Funding: uses

		Funding: sources
SCPe remaining build capex	C\$397m	Cash + ITM options
SCPe G&A to 1st Au	C\$26m	Orion Debt
SCPe pre-production exp'n	C\$3m	Orion Stream
SCPe finance costs + wkg cap to Y1	C\$285m	Orion over-run
Total uses	C\$711m	Build Equity

*Cash from options expiring pre first pour

Total proceeds

C\$937m

Buffer

C\$226m

Ratio analysis

	CY25E	CY26E	CY27E	CY28E	CY29E
Average shares out (m)	114.7	121.0	121.0	121.0	121.0
EPS (C\$/sh)	-	-	10.23	9.86	11.19
CFPS (C\$/sh)	-	-	8.35	10.74	11.62
EV (C\$m)	4,955.7	5,559.8	4,510.5	3,240.5	1,867.5
FCF yield (%)	-	-	19%	24%	26%
PER (x)	-	-	4.3x	4.5x	3.9x
P/CF (x)	-	-	5.3x	4.1x	3.8x
EV/EBITDA (x)	-	-	2.5x	1.8x	0.9x

Income statement

	CY25E	CY26E	CY27E	CY28E	CY29E
Net revenue (C\$m)	-	-	2,056.9	2,050.0	2,275.0
Gross profit (C\$m)	-	-	1,881.9	1,824.5	2,046.4

D&A, attrib (C\$m)	0.6	-	90.4	103.1	121.1
Admin (C\$m)	40.0	23.2	10.0	10.0	10.0
Expensed exploration (C\$m)	8.7	3.0	-	-	-
Finance cost (C\$m)	0.5	45.8	61.6	46.7	29.7
Royalty (C\$m)	-	-	60.1	59.6	66.3
Forex, other (C\$m)	(39.9)	2.1	-	-	-
Taxes (C\$m)	3.5	-	421.4	411.7	464.9

Net income (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Net income (C\$m)	(13.5)	(74.1)	1,238.4	1,193.4	1,354.5

Cash flow, attrib.

	CY25E	CY26E	CY27E	CY28E	CY29E
EBIT (C\$m)	(9.5)	(28.3)	1,721.4	1,651.8	1,849.1
Add back D&A (C\$m)	0.6	-	90.4	103.1	121.1
Less tax + net interest (C\$m)	3.9	45.8	483.0	458.4	494.6
Net change in wkg cap (C\$m)	(36.8)	-	(207.4)	45.6	(27.0)
Add back other non-cash (C\$m)	90.7	-	-	-	-

Cash flow ops (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
PP&E - build + sust. (C\$m)	(294.4)	(317.7)	(111.1)	(42.3)	(42.3)

PP&E - exp'n (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
PP&E - exp'n (C\$m)	-	-	-	-	-

Cash flow inv. (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Cash flow inv. (C\$m)	(294.4)	(317.7)	(111.1)	(42.3)	(42.3)

Share issue (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Share issue (C\$m)	232.0	-	-	-	-

Proceeds from sale (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Proceeds from sale (C\$m)	206.9	68.1	68.1	-	-

Debt draw (repay) (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Debt draw (repay) (C\$m)	112.2	364.6	(65.7)	(129.6)	(129.6)

Cash flow fin. (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Cash flow fin. (C\$m)	551.1	432.6	2.3	(129.6)	(129.6)

Net change in cash (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Net change in cash (C\$m)	297.8	40.8	1,012.6	1,170.2	1,276.7

EBITDA (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
EBITDA (C\$m)	(116.6)	(28.3)	1,782.8	1,725.0	1,936.9

Balance sheet

	CY25E	CY26E	CY27E	CY28E	CY29E
Cash (C\$m)	276.9	317.7	1,301.3	2,441.6	3,685.1
Acc rec., inv, prepaid (C\$m)	54.4	54.4	211.2	165.7	192.6
PP&E + other (C\$m)	563.5	881.2	902.0	841.1	762.4

Total assets (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Total assets (C\$m)	894.8	1,253.3	2,414.5	3,448.4	4,640.0

Debt (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Debt (C\$m)	184.2	548.7	483.0	353.4	223.8

Accounts payable (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Accounts payable (C\$m)	63.9	63.9	13.4	13.4	13.4

Others (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Others (C\$m)	434.9	434.9	434.9	434.9	434.9

Total liabilities (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Total liabilities (C\$m)	683.0	1,047.6	931.3	801.7	672.1

Sh'hlds equity + wrnts (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Sh'hlds equity + wrnts (C\$m)	900.6	968.6	1,036.7	1,036.7	1,036.7

Retained earn'gs + rsvs (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Retained earn'gs + rsvs (C\$m)	(688.8)	(762.9)	446.5	1,610.0	2,931.3

Liabilities + equity (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Liabilities + equity (C\$m)	894.8	1,253.3	2,414.5	3,448.4	4,640.0

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BUY:	55
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	55

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